Feeder Appointment & Operations Policy

Feeder Identification and Proposal

- *Responsibility:* The Territory Leader Distributor (TLD) is responsible for identifying potential locations where Distributor service is inadequate due to logistical challenges.
- *Assessment Criteria:* The proposal for appointing a Feeder must be justified based on the criteria outlined in the Feeder Proposal Matrix (refer to Section 3).
- *Required Proposal Documentation:* When submitting a proposal, the TLD must include:
    - The completed Feeder Proposal Matrix.
    - Clear map views (e.g., from Google Maps or similar) illustrating:
        - The precise location of the proposed Feeder.
        - The distance between the primary Distributor's (point and the proposed Feeder location.
        - The proposed operational territory/area the Feeder will service.
- **Approval Process:**
    - The TLD submits the Feeder appointment proposal, including the completed matrix, to the Zonal Business Manager (ZBM).
    - The ZBM reviews the proposal and forwards it to the General Manager (GM) - Sales Development at the Head Office (HO) for final approval.

Feeder Proposal Matrix

(The following criteria must be evaluated and documented when proposing a Feeder)

Criteria	Description	Level 1 / Option 1	Level 2 / Option 2	Level 3 / Option 3
Distance from Distributor Base Location	The Feeder should be a minimum of 80 kms away from the DT base location.	80-100 km	100-150 km	150+ km

Proximity to Market	Distance from Feeder location to mapped towns/villages	0-10 km	10-20 km	20-30 km
Monthly Turnover	Minimum Business Required	2.5 Lakh	5 Lakh	8 Lakh
Logistics to Distributor (SD)	Mode of transportation used by the Feeder to connect with the supplying Distributor	Local Transport	Public Transport	Public Transport
Distributor Visit Frequency	How often the Feeder visits the supplying Distributor	Weekly	Fortnightly	Monthly
MC Inventory Capacity	Tyre stocking capability	200 Tyres	400 Tyres	600 Tyres

Feeder Appointment and Product Scope

- *Final Authority:* Feeder appointments require prior approval from the GM - Sales Development (HO).
- *Permitted Products*: Feeders are authorized to be billed for and distribute only the following product categories: 2/3 Wheeler tyres & tubes, PCR/UVR tyres & tubes, LCV tyres & tubes, and LM tyres & tubes.

Feeder Business Commitment

TLDs have to also to fill in the feeder business commitment as per the below table. The table captures the committed MC volumes for the 3 quarters post appointment.

Feeder Name	Q (Quarter of Appointment)	Q + 1	Q + 2	Q + 3

Operational Guidelines and Responsibilities

- *Territory Demarcation:* Feeders must operate strictly within their assigned and demarcated territory.
- *Market Expansion:* Feeders are expected to actively expand the retail network and explore alternative sales channels, including battery shops, spare parts dealers, lubrication outlets, OE workshops, and fuel stations.

- *Order & Payment Collection:* The Feeder is responsible for collecting orders and payments from all attached retailers.
- *Billing Records:* Feeders must provide detailed billing information upon request by the company.
- **Non-Encroachment Clause:**
    - Feeders must not service existing markets or customers already covered by supplying Distributor.
    - Feeders must refrain from any activities that could negatively impact the business operations of existing Distributors in the market.
    - Parties involved in the infringement of the above two clauses will have their feeder status immediately revoked upon the final approval of "Head – Sales Development"
- *Loyalty Programs:* Participation in CEAT customer loyalty programs, such as the CKS program, is not extended to appointed Feeders.

Feeder Compensation Structure

1. **Eligibility for Feeder Support:**
    - To qualify for Feeder Support, a Feeder must achieve average monthly sales of at least 200 motorcycle tyres (average monthly) within a quarter.
2. **Calculation of Feeder Support:**
    - For eligible Feeders (those meeting the criteria in point 1), the potential support amount is calculated as 2% of the total invoice value before tax (pre-tax BOI) for their purchases during the quarter.
3. **Maximum Feeder Support Amount:**
    - The Feeder Support payment is capped at a maximum of INR 50,000 per quarter, regardless of the calculated 2% amount.
4. **Disbursement Process (Feeder Support):**
    - The calculated Feeder Support (up to the INR 50k cap) is provided by the supplying Distributor.
    - The company will then reimburse the Distributor for this amount at the end of each quarter.